MODULE 2 — HUMAN RESOURCE DEVELOPMENT SYSTEM

1. Introduction to the HRD System

What is HRD?

Human Resource Development (HRD) is a systematic process through which an organization develops the **knowledge, skills, abilities, attitudes, competencies and potential** of its employees.

In simple words:

HRD means helping employees become more capable today and preparing them to handle greater responsibilities tomorrow.

HRD is therefore much broader than simply conducting training programs.

For example, suppose a company has a newly promoted manager who is technically excellent but cannot manage a team. HRD would not simply send the manager to a classroom training program. It might provide:

- leadership training
- coaching
- mentoring
- feedback
- performance counselling
- job rotation
- challenging assignments
- career planning

The objective is to develop the **whole capability of the employee**.

Main objectives of HRD

HRD attempts to:

1. Improve employee competencies.
2. Improve individual performance.
3. Prepare employees for future responsibilities.

4. Develop leadership capabilities.
5. Increase employee motivation.
6. Encourage continuous learning.
7. Improve organizational effectiveness.
8. Create a positive work environment.
9. Develop a culture of collaboration and trust.
10. Align individual development with organizational objectives.

HRD as a system

HRD should be viewed as a **system rather than a collection of independent activities**.

A simple way to remember it is:

Employee needs → HRD intervention → Learning/development → Improved behaviour → Improved performance → Organizational development

If training is provided but employees never get an opportunity to apply what they learned, the HRD system is incomplete.

2. HRD Mechanisms

Meaning of HRD Mechanisms

HRD mechanisms are the formal and informal systems, processes and practices used by an organization to develop employees.

They are the **tools through which HRD actually operates**.

Important HRD mechanisms include:

- Performance appraisal
- Potential appraisal
- Training and development
- Feedback and counselling
- Career planning and development
- Job rotation
- Organizational development

- Coaching and mentoring
- Rewards and recognition
- Employee welfare
- Communication

These mechanisms work together to create a developmental environment. (SLM (Self Learning Material) for MBA)

A. Performance Appraisal

Performance appraisal is the systematic assessment of an employee's performance against established expectations.

Traditionally, appraisal was mainly used to answer:

"How well did the employee perform?"

Modern HRD asks a second question:

"How can the employee develop further?"

HRD importance of performance appraisal

Performance appraisal helps identify:

- strengths
- weaknesses
- training needs
- performance gaps
- career potential
- future development requirements

Example

Suppose an employee is technically competent but has poor presentation skills.

The appraisal identifies the gap.

HRD can then provide:

Performance feedback → presentation training → practice → coaching → reassessment

Thus, appraisal becomes a **developmental tool**, not merely a rating exercise.

3. Potential Appraisal

Meaning

Potential appraisal evaluates an employee's capacity to perform **higher-level or future responsibilities**.

This is different from performance appraisal.

Performance vs potential

Performance appraisal	Potential appraisal
Focuses on current/past performance	Focuses on future capability
What has the employee achieved?	What can the employee achieve?
Current job	Future responsibilities
Performance-oriented	Development-oriented

Example

An employee may currently be a very good sales executive.

Performance appraisal asks:

"How good is this employee at sales?"

Potential appraisal asks:

"Could this employee become a successful sales manager?"

This distinction is extremely important in examinations.

4. Training and Development

Training

Training generally focuses on improving competencies required for the **present job**.

Development

Development has a broader and longer-term focus and prepares employees for **future roles and responsibilities**.

Example

Teaching an employee how to use the company's current accounting software = **training**

Developing the employee's leadership, strategic thinking and decision-making abilities for a future managerial role = **development**

Training-development relationship

Training → present competence

Development → future capability

Both are important components of HRD.

5. Feedback and Counselling

Feedback

Feedback tells employees how their behaviour or performance compares with expected standards.

Effective feedback should be:

- specific
- timely
- constructive

- understandable
- focused on behaviour
- followed by suggestions for improvement

Poor feedback

"Your performance is bad."

This gives the employee little useful information.

Good feedback

"Your technical analysis was strong, but your presentation lacked a clear structure. Start with the main conclusion and then explain the supporting data."

This tells the employee **what happened and how to improve**.

Counselling

Employee counselling helps employees understand performance problems, career concerns, workplace difficulties and development needs.

The objective should be **improvement rather than punishment**.

6. Career Planning and Development

Career planning involves identifying:

- employee career goals
- required competencies
- possible career paths
- development activities
- future organizational opportunities

Example

An employee wants to become a department manager.

The organization identifies the competencies required:

- leadership
- decision-making
- financial understanding
- communication
- conflict management

A development plan can then be created.

Career goal → competency gap → development activity → experience → promotion readiness

7. Job Rotation

Job rotation means moving an employee periodically between different jobs or departments.

Objectives

It can:

- broaden employee experience
- reduce monotony
- develop multiple skills
- improve understanding of the organization
- prepare employees for management
- identify employee strengths

Example

A management trainee might work in:

HR → Finance → Marketing → Operations

The employee develops a broader understanding of the organization.

8. HRD Climate

This is one of the **most important topics in your module**.

Meaning of HRD Climate

HRD climate refers to the employees' perception of whether their organization provides an environment that **supports learning, development, openness, trust and growth**.

A good HRD climate makes employees feel:

"This organization wants me to learn and become better."

A poor HRD climate makes employees feel:

"Training is just a formality and mistakes will be punished."

The HRD climate framework associated with T. V. Rao and E. Abraham emphasizes **general climate, OCTAPAC culture and HRD mechanisms**. (SLM (Self Learning Material) for MBA)

9. Components of HRD Climate

A. General Climate

General climate refers to the overall organizational environment supporting employee development.

It includes:

1. Top management support

Senior managers must demonstrate that employee development is important.

If top management says:

"People are our greatest asset"

but never provides time or resources for development, employees will not take HRD seriously.

2. Personnel policies

Policies should support:

- fairness
- development
- employee welfare
- learning
- career growth
- objective appraisal

3. Line manager support

Employees interact with their immediate managers every day.

Therefore, managers have a major influence on whether employees actually learn and develop.

10. OCTAPAC Culture

This is a very important examination concept.

OCTAPAC represents seven values:

O — Openness

Employees can communicate ideas, concerns and information freely.

C — Confrontation

Problems are faced directly rather than ignored.

Here, confrontation does **not** mean fighting.

It means:

"Let us discuss the real problem and solve it."

T — Trust

Employees believe that others will act fairly and responsibly.

A — Autonomy

Employees have reasonable freedom to make decisions within their responsibilities.

P — Proactivity

Employees take initiative instead of waiting for instructions.

A — Authenticity

There is consistency between what people say and what they actually do.

C — Collaboration

Employees work together rather than operating in unhealthy competition.

Easy memory trick

O C T A P A C

Openness
Confrontation
Trust
Autonomy
Proactivity
Authenticity
Collaboration

These values help create a developmental organizational culture. (EDUREV.IN)

11. Organizational Climate vs Organizational Culture

Students often confuse these two.

Climate

Climate is primarily about **how employees perceive the current workplace environment**.

Culture

Culture refers to the deeper **values, beliefs, assumptions and norms** that guide behaviour.

Think of it this way:

Climate = how the organization feels

Culture = why the organization behaves that way

Climate can change relatively quickly; culture tends to be deeper and slower to change. (Wonderslate)

Example

Suppose a company currently has an open-door policy.

Employees feel comfortable speaking to managers.

That is part of the **climate**.

If openness has been a deeply established organizational value for many years and employees naturally expect transparent communication, it reflects **culture**.

12. Influence of HRD Climate on Employees

A positive HRD climate can encourage:

- learning
- innovation
- initiative
- cooperation
- motivation

- communication
- risk-taking
- employee commitment

A negative climate can lead to:

- fear
- resistance to change
- low motivation
- poor communication
- reduced learning
- employee turnover
- lack of innovation

Research on learning climate similarly emphasizes that the everyday work environment—including supervisor feedback, access to knowledge and rewards for proficiency—can influence employees' opportunities to learn. (Wiley Online Library)

13. Employee Behaviour

Meaning

Employee behaviour refers to how employees act, think, communicate and respond within an organization.

It includes:

- work performance
- attendance
- cooperation
- communication
- decision-making
- motivation
- leadership
- conflict behaviour
- adaptability
- organizational citizenship behaviour

HRD is concerned with employee behaviour because **development ultimately needs to produce useful changes in knowledge, skills, attitudes or behaviour**.

14. Model of Employee Behaviour

A useful way to understand employee behaviour is:

Individual factors + Environment + Situation → Behaviour → Performance/Outcomes

For example:

An employee may have excellent technical ability but perform poorly because:

- the manager does not provide feedback,
- resources are unavailable,
- workload is excessive,
- goals are unclear,
- organizational policies are unfair.

Therefore, employee behaviour cannot always be explained simply by saying:

"The employee is good" or "The employee is bad."

Behaviour is influenced by the interaction between the **person and environment**.

Social cognitive theory similarly views behaviour as a dynamic interaction among the **person, environment and behaviour**. (Sage Journals)

15. Internal Factors Influencing Employee Behaviour

Internal factors originate largely within the individual.

1. Personality

Personality influences how employees respond to situations.

For example:

- an extroverted employee may enjoy social interaction
- a highly conscientious employee may be very organized
- an emotionally stable employee may remain calm under pressure

2. Perception

Perception is how an employee interprets information and situations.

Two employees may experience the same event but interpret it differently.

3. Attitude

Attitude represents an employee's positive or negative orientation toward something.

Examples:

- attitude toward work
- attitude toward management
- attitude toward change

4. Motivation

Motivation determines the direction, intensity and persistence of behaviour.

A motivated employee is more likely to invest effort toward goals.

5. Ability

Ability refers to the employee's capacity to perform a task.

It includes:

- intellectual ability
- physical ability
- technical ability
- interpersonal ability

6. Values

Values influence what an employee considers important or acceptable.

For example:

- honesty
- achievement
- security
- fairness
- recognition

7. Learning

Past experiences influence future behaviour.

An employee who has learned that mistakes lead to constructive feedback may be more willing to experiment.

16. External Factors Influencing Employee Behaviour

External factors originate from the employee's environment.

Important factors include:

1. Leadership

Leadership style can strongly influence employee behaviour.

2. Organizational culture

Culture establishes expectations regarding "how things are done."

3. Organizational climate

The workplace atmosphere influences motivation and behaviour.

4. Reward systems

Employees respond to rewards and recognition.

5. Job design

A repetitive job may produce different behaviour from a challenging job with autonomy.

6. Group and team behaviour

Coworkers influence attitudes, norms and performance.

7. Organizational policies

Fair and transparent policies can promote trust.

8. Technology

Technology changes how employees communicate and perform work.

9. Economic and social environment

Broader economic and social conditions can influence employee expectations and behaviour.

17. Learning and HRD

Now we come to the second major part of the module.

What is Learning?

Learning is a relatively lasting change in knowledge, skills, attitudes or behaviour resulting from experience, practice, instruction or interaction with the environment.

In HRD, learning is important because training is useful only when employees actually **learn and transfer that learning to their jobs**.

Modern workplace-learning research emphasizes acquisition and retention of knowledge, skills and affect, followed by application when needed. (Annual Reviews)

18. Learning Principles

These principles help HR professionals design effective learning programs.

Principle 1: Motivation

People learn better when they have a reason to learn.

Example

An employee is more motivated to learn Excel when they understand:

"This skill will help me prepare reports faster and qualify for higher responsibilities."

Principle 2: Readiness

A person should be mentally and physically ready to learn.

If an employee is exhausted, distracted or completely uninterested, learning becomes difficult.

Principle 3: Practice

Practice strengthens learning.

Learning + repeated practice → stronger skill

For example, leadership cannot be learned effectively only by reading a textbook. The employee needs opportunities to **practice leadership**.

Principle 4: Feedback

Learners need information about their performance.

Feedback helps answer:

- What did I do correctly?
- What did I do incorrectly?
- How can I improve?

Principle 5: Reinforcement

Behaviours that receive appropriate positive consequences are more likely to be repeated.

For example:

An employee uses a new problem-solving technique effectively → manager recognizes the effort → employee is encouraged to continue using the technique.

Principle 6: Active Participation

People generally learn better when they actively participate rather than simply listen.

Therefore:

Case study + discussion + practice

is often more useful than:

two-hour lecture only

Principle 7: Meaningfulness

Learning should be connected to the learner's existing knowledge and real work.

Employees learn more effectively when they can answer:

"Why do I need to know this?"

Principle 8: Transfer

Learning must be transferred from the training environment to the workplace.

This is one of the biggest challenges in HRD.

Example

An employee attends communication training.

If the employee never applies the techniques at work, the organization gets little benefit.

Therefore:

Training → Practice → Workplace application → Performance improvement

19. Maximizing Learning

Maximizing learning means creating conditions under which employees can learn **efficiently, deeply and consistently**.

Important factors include:

1. Clear learning objectives

Learners should know exactly what they are expected to achieve.

2. Appropriate difficulty

Training should neither be extremely easy nor impossibly difficult.

3. Relevant content

Content should relate to actual job requirements.

4. Active practice

Learners should perform tasks rather than merely hear about them.

5. Feedback

Feedback allows correction.

6. Repetition

Important skills need repeated practice.

7. Application

Learners should receive opportunities to use their knowledge.

8. Supportive environment

Managers and coworkers should support the learning process.

9. Follow-up

Learning should be reinforced after formal training.

10. Evaluation

Organizations should determine whether learning actually improved performance.

Instructional psychology specifically focuses on designing learning conditions to maximize acquisition of competence, including identifying goals, understanding the learner's starting point, selecting appropriate instructional conditions, and monitoring progress. (Ebook App)

20. Individual Differences in the Learning Process

This is another important concept.

Not everyone learns in exactly the same way or at the same speed.

Employees may differ in:

- intelligence
- prior knowledge
- experience
- motivation
- personality
- attention
- confidence
- age
- language ability
- technical competence
- learning opportunities
- cognitive ability

Example

Two employees attend the same Excel training.

Employee A has used spreadsheets for three years.

Employee B has never opened Excel.

If both receive exactly the same instruction at exactly the same speed, Employee B may struggle.

Therefore, effective HRD considers the **starting level of learners**.

21. Learning Strategies

A learning strategy is a deliberate method used to improve learning.

Important strategies include:

1. Rehearsal

Repeating information or skills.

Example:

Practicing a presentation several times.

2. Elaboration

Connecting new information with existing knowledge.

Example:

Connecting a new HR theory to a real company example.

3. Organization

Arranging information into meaningful structures.

Example:

Using headings, diagrams and concept maps.

4. Practice

Repeatedly performing the desired skill.

5. Self-regulation

The learner monitors and controls their own learning.

This includes:

Set goal → study → monitor progress → identify weakness → change strategy

6. Collaborative learning

Employees learn through interaction with others.

Examples:

- group discussion
- peer learning
- team projects
- mentoring

22. Learning Styles

Learning-style theories classify learners according to preferred ways of learning.

Common classifications discuss preferences such as:

- visual
- auditory
- reading/writing
- kinesthetic

However, there is an important modern qualification:

Do not assume that teaching must always be matched to a person's supposed fixed "learning style."

Contemporary workplace-learning research cautions against the simplistic idea that people necessarily learn better when instruction is matched to a self-identified learning style. It emphasizes evidence-based instructional principles instead. (Annual Reviews)

What should an HR professional do instead?

Use **multiple effective instructional methods**:

- explanation
- demonstration
- examples
- practice
- discussion
- simulation
- feedback
- reflection

The goal should be **effective learning**, not merely labeling employees as "visual learners" or "auditory learners."

23. Instructional Psychology

Meaning

Instructional psychology studies **how learning environments and instructional methods can be designed to produce effective learning**.

Traditional psychology often asks:

"How does learning happen?"

Instructional psychology also asks:

"What should we do to help this person learn?"

This distinction is important.

A classic instructional approach emphasizes four steps:

1. Define the learning goal.
2. Determine the learner's current knowledge/ability.
3. Select appropriate instructional conditions.
4. Assess and monitor learning progress. (Ebook App)

Application in HRD

Suppose an organization wants employees to learn customer-service skills.

Step 1 — Goal

Employees should be able to handle difficult customers professionally.

Step 2 — Starting point

Assess current communication skills.

Step 3 — Instruction

Use:

- demonstrations
- role plays
- case studies

- simulations

Step 4 — Assessment

Observe employees handling simulated customer complaints.

This is instructional psychology applied to HRD.

24. Cognitive Psychology

Meaning

Cognitive psychology studies mental processes involved in:

- attention
- perception
- memory
- thinking
- reasoning
- problem-solving
- decision-making
- learning

It views humans as active processors of information.

In other words:

Employees do not simply receive information; they interpret, organize, store and retrieve it.

Cognitive psychology has significantly influenced modern instructional design and HRD. (Ebook App)

25. Information Processing and Learning

A simple model is:

Environmental information

↓

Attention

↓

Working/short-term processing

↓

Encoding

↓

Long-term memory

↓

Retrieval

↓

Application

Example

A trainer explains a new HR policy.

The employee:

1. pays attention,
2. processes the information,
3. connects it with previous knowledge,
4. stores it,
5. retrieves it when necessary,
6. applies it at work.

If attention is poor, learning may never occur effectively.

26. Cognitive Load

Human mental processing capacity is limited.

If a trainer gives learners too much complicated information simultaneously, the learner can become cognitively overloaded.

Example

Imagine a trainer showing:

- 30 slides
- 15 complicated graphs
- 10 new concepts
- technical terminology
- a long case study

all within 20 minutes.

The problem may not be that the learner is unintelligent.

The problem may be **excessive cognitive load**.

HRD implication

Training should:

- break complex material into manageable units
- use clear explanations
- provide examples
- avoid unnecessary information
- allow practice
- connect new concepts with existing knowledge

27. Recent Developments in Instructional and Cognitive Psychology

Modern HRD increasingly uses insights from psychology to improve workplace learning.

Important developments include:

1. Active learning

Learners participate rather than passively receive information.

2. Experiential learning

Employees learn through experience and reflection.

3. Simulation

Employees practice realistic situations in a safe environment.

4. Microlearning

Learning content is divided into short, focused units.

Example:

A 7-minute module teaching one Excel function.

5. E-learning

Technology is used to provide learning digitally.

6. Adaptive learning

Learning content can be adjusted according to learner progress.

7. Social learning

Employees learn by observing and interacting with others.

Social cognitive theory is particularly relevant because it connects individual behaviour, environment and learning. (Sage Journals)

8. Self-directed learning

Employees increasingly take responsibility for identifying their own learning needs and pursuing development.

9. Evidence-based instructional design

Organizations increasingly emphasize instructional methods supported by research rather than relying solely on popular training practices. Research on workplace instruction specifically integrates learning science with training design and emphasizes instructional principles, learner processes and delivery methods. (Annual Reviews)

28. Complete Relationship Among the Topics

This is perhaps the **most important way to understand the entire module**.

Imagine an organization:

Step 1 — HRD mechanisms

The organization introduces:

- appraisal
- training
- feedback
- counselling
- career planning

↓

Step 2 — HRD climate

Employees begin experiencing:

- trust
- openness
- autonomy
- collaboration
- support

↓

Step 3 — Employee behaviour

Employees become more willing to:

- learn
- communicate
- take initiative
- cooperate
- accept feedback

↓

Step 4 — Learning

HRD designs learning based on:

- motivation
- practice
- feedback
- individual differences
- appropriate instructional methods

↓

Step 5 — Instructional & cognitive psychology

Training is designed according to how people:

- pay attention
- process information
- remember
- practice
- solve problems
- apply knowledge

↓

Step 6 — Organizational outcome

The result should be:

Better employee capability → Better behaviour → Better performance → Organizational effectiveness

29. Important Differences for Examinations

HRM vs HRD

HRM	HRD
Broad management of human resources	Focuses specifically on development
Recruitment, compensation, staffing, etc.	Learning, training, career and capability development
Often concerned with current workforce requirements	Strong emphasis on present and future capability
Includes administrative functions	Strong developmental orientation

Training vs Development

Training	Development
Present job	Future roles
Specific skills	Broader capabilities
Usually shorter-term	Usually longer-term
Job-oriented	Career/organization-oriented

Performance vs Potential Appraisal

Performance	Potential
Current/past performance	Future capability
"How well are you doing?"	"What could you become?"
Current role	Future role

Climate vs Culture

Climate	Culture
Current perceptions	Deep values and assumptions
More visible	Often less visible
Relatively easier to change	More difficult to change
"How does it feel?"	"What do we believe and practice?"

30. Exam-Ready Short Notes

HRD Mechanisms

HRD mechanisms are systems and practices used to develop employee capabilities. Major mechanisms include performance appraisal, potential appraisal, training and development, feedback and counselling, career development, job rotation, organizational development and rewards.

HRD Climate

HRD climate is the employees' perception of the extent to which an organization supports employee development. It is influenced by general organizational climate, OCTAPAC culture and HRD mechanisms.

OCTAPAC

OCTAPAC represents **Openness, Confrontation, Trust, Autonomy, Proactivity, Authenticity and Collaboration**. These values encourage a developmental organizational environment.

Employee Behaviour

Employee behaviour refers to how employees think, feel and act within an organization. It is influenced by individual factors such as personality, perception, motivation, ability and values, as well as external factors such as leadership, culture, rewards, job design and organizational policies.

Learning

Learning is a relatively lasting change in knowledge, skills, attitudes or behaviour resulting from experience, practice or instruction.

Instructional Psychology

Instructional psychology focuses on designing learning conditions that facilitate the acquisition of competence. It emphasizes learning objectives, learner characteristics, instructional conditions and assessment.

Cognitive Psychology

Cognitive psychology examines mental processes such as attention, memory, thinking, reasoning and problem-solving and helps HRD professionals design more effective learning experiences.

31. Questions You Should Prepare for Your Exam

Long-answer questions

1. **Explain the concept of HRD mechanisms and discuss their major types.**
2. **Explain HRD climate and discuss the OCTAPAC culture.**
3. **Distinguish between organizational climate and organizational culture.**
4. **Explain the various internal and external factors influencing employee behaviour.**
5. **Discuss the principles of learning and their importance in HRD.**
6. **Explain how organizations can maximize employee learning.**
7. **Discuss individual differences in the learning process.**
8. **Explain learning strategies and learning styles.**
9. **Discuss the role of instructional psychology in HRD.**
10. **Explain the contribution of cognitive psychology to employee learning and development.**
11. **Explain the model of employee behaviour with suitable examples.**
12. **Discuss the relationship between HRD mechanisms, HRD climate, employee behaviour and organizational effectiveness.**

Very likely short-answer areas

- Define HRD climate.
- What is potential appraisal?
- What is performance appraisal?
- Define job rotation.
- What is learning?
- What is HRD mechanism?
- Expand OCTAPAC.
- Define instructional psychology.
- Define cognitive psychology.
- What is feedback?
- What is career development?
- State any four principles of learning.

One-page memory map

HRD SYSTEM

→ **HRD Mechanisms**
Performance appraisal
Potential appraisal
Training & development
Feedback & counselling
Career development
Job rotation
OD
Rewards

↓

→ **HRD Climate**
General climate
+
OCTAPAC
Openness
Confrontation
Trust
Autonomy

Proactivity
Authenticity
Collaboration

↓

→ **Employee Behaviour**
Internal factors
Personality
Perception
Motivation
Ability
Attitude
Values

-

External factors
Leadership
Culture
Climate
Rewards
Job design
Groups
Policies

↓

→ **Learning & HRD**
Motivation
Readiness
Practice
Feedback
Reinforcement
Participation
Meaningfulness
Transfer

↓

→ **Individual Differences**
Knowledge
Experience

Ability
Personality
Motivation
Prior learning

↓

→ **Learning Strategies & Styles**
Rehearsal
Elaboration
Organization
Practice
Self-regulation
Collaborative learning

↓

→ **Psychology**
Instructional psychology
+
Cognitive psychology

↓

Employee Development → Improved Behaviour → Improved Performance → Organizational Effectiveness

That final chain is the **central idea of the entire module**. HRD mechanisms create the systems, HRD climate creates the environment, psychology explains how people learn and behave, and learning ultimately produces improved employee capability and performance. (sciencedirect.com)